Balance sheet as on …

Liabilities	₹	Assets	₹
		Outstanding subscription for the:	
Subscription received in advance		current year	xxx
for the subsequent year	xxx	previous year	xxx

Illustration 8

From the following details calculate the amount that will be shown as subscription in Income and Expenditure Account for the year ending 31st March, 2017.

Subscription received for	₹
2015-16	7,500
2016-17	60,000
2017-18	1,500
	69,000

Subscription outstanding for the year 2016-17 is ₹ 2,400. Subscription for 2016-17 received in 2015-16 was ₹ 1,000.

Solution

Dr. Income and Expenditure Account for the year ended 31st March, 2017 Cr.

Expenditure	₹	Income	₹	₹
		By Subscription	60,000	
		Add: Outstanding subscription for 2016-17	2,400	
		Subscription received in advance in		
		2015-16 for 2016-17	1,000	63,400

Tutorial note

(i) Subscription for the year 2015-16 ₹ 7,500 and for the year 2017-18 ₹ 1,500 do not relate to the current year. So they should not be recorded in Income and Expenditure Account.

(ii) Subscription outstanding for the current year 2016-17 is ₹ 2,400. It should be added with the amount of subscription received during 2016-17.

Illustration 9

How the following items will appear in the final accounts of a club for the year ending 31st March, 2019?

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